Professional Issues in IT

Financing a Start-up Company

Financing a Start-up Company

INTRODUCTION

- A lot of people want there career to be leaded to some independent work, their own work, a company or business owned by them, instead for working for others.
- New graduates in computing often aim of setting up their own company.
- modest the group's initial ambitions, it is likely that they will need some money to start the venture.

WHY CAPITAL IS NEEDED

Your customers will not be willing to pay you until you have provided them with the service or the product they are buying.

To buy the things you need to make the product or to provide the service, and to live while you are making or doing it.

Clients and customers usually do not pay before getting the services or product.

For any business there must be a certain amount of capital in hand.

Examples

Mobiles and mobile company, a burger shop, painting of houses, computer services, software developments and software companies etc

Factors involving capital

- You need enough cash in hand to be able to live for at least three months.
- In normal commercial practice, invoices for services are issued at the end of a month to cover the work that has been done during the month.
- some large companies are notorious for not paying invoices for as much as 6 or even 12 months.

Factors involving capital

If you intend to develop a package, the sum of money needed is likely to be even larger. While the package is being developed, there will be no revenue coming into the company. For this period cash will be needed for:

- salaries, however small, for the founders and for any other staff they may need to employ;
- rent, rates, heating and lighting of the premises used;
- equipment and consumables;
- costs of advertising and marketing the products;
- Loan Repayments:
- miscellaneous expenses, ranging from company stationery to travelling expenses for any trips that may be necessary;
- interest on any money borrowed.

THE BUSINESS PLAN

Firstly to start any business work

- We plan it.
- We have some ideas what to do,(focusing business)
- What will we achieve (benefits, profit, status, etc..)
- what are the targets
- It is a document which explains our plans to the funders and tries to convince them that these plans are well thought out and realistic and would work successfully.

Business plan Document…..

It should contain:

- a description of what the company will be doing, together with information to show that it is technically feasible and that the founders of the company have the necessary expertise;
- a description of the market the company is aiming at, an estimate of its size, and an assessment of the competition.
- a prediction of the financial performance of the company. This will include budgets, cash flow predictions, and projected balance sheets and profit and loss accounts.

Why the plan is needed?

- Every person wants to gain profit by safe means
- If you have the business plan, you are in a position to approach people who might be willing to lend you money, invest money in your company, or even give you money.

Business plans are not predictions

- It is a mistake to think of a business plan as a prediction of what will happen when and if you succeed in starting your company.
- It should be seen much more as a scenario that demonstrates that your company has a reasonable chance of success.
- The attempt to produce a business plan will often show that what a new company is trying to do has very little chance of succeeding.

Moral story:

The story of the village girl making castles in the air

SOURCES OF FINANCE

Grants

- A *grant* is a sum of money given to the company;
- The company is obliged to demonstrate that it has been used for the purposes for which it was given
- It is not intended that the grant should ever be paid back to the organization which gave it.
- Grants are only available from government (local or national) and union sources or, very occasionally, from charities.
- Grants are limited to a certain proportion of the money spent on a particular development and are conditional upon the remainder being raised from other sources.
- The availability of grants and other help for new companies depends very much on where the company is located, how many people it expects to employ, and on government policy at the time

Grants

- These grants are usually:

- Intended to assist with capital investment, typically investment in premises and equipment;
- Subject to a number of conditions, in particular the raising of capital from other sources;
- Limited to a certain proportion of the capital investment that the company can prove it has made.
- This means that they are often of limited usefulness to small software companies, whose investment more usually takes the form of employees' time.

Loans

- A loan is a sum of money lent to the company;
- interest is payable on it, at a rate that may be fixed or variable
- the loan is usually for a fixed period
- The company has to pay back the loan eventually
- if it goes into liquidation, the lender is entitled to recover the loan from the sale of the assets of the company
- In most cases, security is required for the loan

Loans

- It is usual to divide loans into overdrafts, long-term loans and soft loans.
  - **Overdrafts** are offered by banks; they allow a company (or an individual) to spend more money than is in its account, a specified maximum.
  - Interest is only payable on the amount actually owed and the rate is normally comparatively low; it is usually fixed at a certain number of points above the bank base lending rate.
  - **Long term Loans** are usually made for a fixed period at a fixed rate of interest. The borrower receives the capital (the amount of the loan) at the start of the period of the loan and is committed to paying interest on that amount throughout the period of the loan.
  - **Soft loans** are usually only available to start-up companies; the interest rates may be lower than commercial interest rates and security is not demanded. Loans are usually provided by banks or similar institutions.
  - Even if a soft loan is available as part of a government initiative, it will usually be channelled through a commercial bank.

Equity capital

Equity capital is money paid to the company in exchange for a share in the ownership of the company

Business angels or venture capitalist:

- Business angels are wealthy individuals who provide equity capital for start-up companies and small firms that are seeking to grow rapidly.
- Venture capitalists are companies whose business is investing in small companies with high growth potential. They are usually only interested in fairly substantial investments, from, say, £500,000 upwards.
- issued capital and the authorized capital.

GEARING

- The relationship between loan capital and equity capital in a company is important. It is known as *gearing* or *leverage*.

GEARING

- Shareholders are at a much greater risk of getting a poor return on their capital or even losing it completely than are lenders, but, in compensation for this, they stand to make a greater profit than lenders if all goes well.
- From the point of view of the shareholders, so much of the company's income is committed to interest payments
- From the point of view of the lenders, because shareholders may encourage the company to trade recklessly in the knowledge that they have little to lose and a lot to gain. Most lenders will be reluctant to lend money if a company seems too **highly geared.**

Discussion

Tech Innovators, a tech startup founded by three university friends, aims to revolutionize small businesses with innovative software solutions for inventory management and sales optimization. The founders, Sarah, John, and Michael, bring complementary skills—Sarah is the software developer, John handles marketing, and Michael manages finance. However, despite their skills and a promising product prototype, they face a significant challenge: securing funding to scale their operations, develop a market-ready product, and hire additional team members.

Funding Needs: The founders estimate they need $500,000 to cover:

- Product development and enhancement.
- Marketing and sales initiatives.
- Hiring skilled developers and sales personnel.
- Office space and other operational expenses.

Discussion

- **Which financing option would you have chosen if you were in the founders' position? Why?**
- **What are the pros and cons of using personal savings and loans from friends and family to fund a startup?**
- **Evaluate the role of government grants in startup funding. Are they worth the time and effort required?**
- **What factors should be considered when deciding between debt and equity financing for a startup?**